Reg. No										

St. Joseph's College of Arts & Science (Autonomous)

St. Joseph's College Road, Cuddalore–607001

B.Com (BM) DEGREE EXAMINATION APRIL 2021

BM203T – FINANCIAL ACCOUNTING - II

Time : 3 hrs **Max Marks :75**

SECTION – A (10X2=20)

Answer **ALL** the Questions

1. What is average due date?
2. Explain the Red ink interest.
3. What do you understand by wholesale branch?
4. Why Branch Adjustment Account?
5. Distinguish between Branches and Departments.
6. What are the advantages of department accounting?
7. Define Goodwill.
8. Ram and Raj share profits in the ratio of 5:2. Ragul was admitted as a partner. Ram surrender 1/5th of his share and Raj ½ of his share in favour of Ragul. Calculate new ratio.
9. What do you mean by dissolution of partnership firm?
10. Discuss the Garner Vs Murray Rule?

SECTION – B (5X5=25)

Answer any FIVE Questions

11. Gomathi purchased goods from Kumar, the due dates for payments in cash being as follows.

	Rs	
March 15	1000	Due 18th April
April 21	1500	Due 24th may
April 27	500	Due 30th June
May 15	600	Due 18th July

Kumar agreed to draw a bill for the total amount due on the average due date. Ascertain that date.

12. From the following particulars prepare a branch account showing the profit or loss at the branch.

Opening stock at the branch	Rs. 15000
Goods sent to the branch	Rs. 45000

Sales	Rs. 60000
Salaries	Rs. 5000
Other expenses	Rs. 2000

Closing stock could not be ascertained but it is known that the branch usually sells at cost plus 20%. The branch manager is entitled to a commission of 5% on the profit of the branch before charging such commission.

13. From the following details prepare Departmental trading accounts.

Particulars	Dept. A	Dept. B
Opening Stock	9,000	8,400
Total Purchases	27,000	21,600
Total sales	42,000	36,000
Closing stock	10,800	4,800
Credit Purchases	17,000	10,600
Credit sales	5,000	6,000

14. The following were the profits by Prabhu and Velu for the past four years.

2008	Rs. 65,000
2009	Rs. 90,000
2010	Rs. 1,10,000
2011	Rs. 1,50,000

You are required to value the goodwill on the basis of 3 years purchase of weighted average profit assigning weights 1,2,3 and 4 respectively for the four years.

15. X and Y are partners sharing profit in the ratio of 3:2. They admit Z into partnership Z pays a premium of Rs. 2000 for 1/4th share of profit. No goodwill account appears in the books. They withdraw the amount of goodwill journalize.

16. P,Q and R share profits in proportion of ½ , ¼ and ¼ on the date of dissolution their Balance sheet was as follows.

Liabilities	Rs	Asset	Rs
Creditors	14,000	Sunday assets	40,000
P's Capital	10,000		
Q's Capital	10,000		
R's Capital	6,000		
	40,000		40,000

The assets realized Rs.35500 creditors were paid in full. Realisable expenses amounted to Rs. 1500. Close the books of the firm.

17. From the following distribution of cash under proportionate capital method.

Capital of partner A- Rs. 20,000
B- Rs. 10,000
Profit sharing ratio – 3:2
I installment (cash) Rs. 5,000
II installment (cash) Rs. 2,000
III Installment (cash) Rs. 1,000

SECTION – C (3X10=30)

Answer any THREE Questions

18. Balaji had the following transactions with Ganesan.

1995		
Jan 20	Sold goods to Ganesan	Rs. 400
Mar 2	Purchased goods from Ganesan	Rs. 250
Mar 3	Accepted Ganesan drafit at one month date	Rs. 200
April 11	Cash paid to Ganesan	Rs. 400
April 30	Goods sold to Ganesan due end of may	Rs.100
May 11	Bought goods from Ganesan	Rs. 300
June 11	Balaji draw a bill on Ganesan this day, payable two months after date and this was duly accepted by Ganesan	Rs. 300

Prepare an Account current to be rendered by Balaji to Ganesan as at 30th June bringing interest into account at 20% p.a.

19. A head office at Bhopal invoices goods to its branch at Indoor at cost and the branch sell the goods not only for cash but also for credit. The expenses of the branch are paid by the head office. From the following particulars relating to the branch opened on 1.1.2014. Prepare the necessary accounts under stock and debtors system in the head office books.

Good sent to branch at cost	Rs. 5,000
Goods returned by the branch at cost	Rs. 300
Expenses paid by the head office	Rs. 1,000
Remittance from branch	Rs. 4,200
Receipts from debtors not paid in by branch	Rs. 300
Credit sales	Rs. 5,200
Discount allowed to customers	Rs. 180
Cash sales	Rs. 250
Branch stock (31.12.2014)	Rs. 1,700

20. Mehta Ram of Ram nagar purchased goods for this three departments as follows.

Department A - 200 pieces

Department B - 1400 pieces

Department C - 400 pieces

Total cost Rs. 5100

Sales of three department were as follow.

Department – A- 180 pieces @ Rs. 15 per piece

Department – B- 1500 pieces @ Rs. 18 per piece

Department – C- 450 pieces @ Rs. 6 per piece

Mehta ram informs you that the rate of gross profit is the same in all depts. You are required to find out the cost of purchases for each department.

21. P and Q are partners sharing profits in the ratio of 3:1. The balance sheet as on 31.3.2014.

Liabilities		Rs	Asset		Rs
Salary due		10,000	Stock		20,000
Creditors		80,000	Prepaid Insurance		2,000
Capital			Debtors	16,000	
P	60,000		Loss: Reserve for BD	1,000	15,000
Q	40,000	1,00,000	Cash		37,000
			Machinery		44,000
			Building		60,000
			Furniture		12,000
		1,90,000			1,90,000

R is admitted as a new partner introducing a capital of Rs.40,000 for his ¼ th share in future profits.

(i) Stock to be depreciated by 5%

(ii) Furniture to be depreciated by 10%

(iii) Buildings to be valued at Rs. 90,000

(iv) The provision for doubtful debts should be increased to Rs. 2,000.

Pass journal entries, Prepare Revaluation A/c and Balance sheet after admission.

22. The following was the Balance sheet of A and B on 31.12.2014.

Liabilities	Rs	Asset	Rs
Creditors	38,000	Cash at bank	11,500
Mrs. A' loan	10,000	Stock in track	60,000
B's loan	15,000	Debtors 20,000	
Reserve fund	5,000	Less Reserve for BD 1,000	19,000
A's capital	10,000	Fixture & Fitting	4.000
B' Capital	8,000	Plant & Machinery	28,000
		Investment	10,000
		P & L A/c	7,500
	86,000		86,000

The firm was dissolved on 31.12.2014 and the following was the result.

(i) A took over the investment at an agreed value of Rs 8,000 and agreed to pay off the loan to Mrs. A.

(ii) The assets realized: stock Rs.5,000 Debtors 18,500 Fixtures and fittings Rs.4,500 and plant & Machinery - 25,000. The expenses were Rs. 1100. The Sunday creditors were paid off less 2 ½ % discounts.

A and B shared profit and losses in the ratio of 3:2 Prepare the entries to be made on dissolution.

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